



Procedure No: EXP202410754 (AI/00459/2024)

RESOLUTION OF FILE OF PROCEEDINGS

From the proceedings carried out by the Spanish Agency for Data Protection and based on the following:

FACTS

FIRST: On 19/06/24, Ms. A.A.A. (the complainant) submitted a complaint to the Spanish Agency for Data Protection.

The complaint is directed against the entity, PAYPAL SE (BRANCH IN SPAIN), (PAYPAL) with CIF: W8260100F (the respondent), for the alleged violation of Regulation (EU) 2016/679 of the European Parliament and of the Council, of 27/04/16, regarding the Protection of Natural Persons with regard to the Processing of Personal Data and the Free Movement of such Data (GDPR), and Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (LOPDGDD).

The complainant states that she has been included in the ASNEF - EQUIFAX file by PAYPAL due to the existence of an unpaid debt but indicates that she has been declared in voluntary bankruptcy with liquidation of the active mass by the Court of Instruction and First Instance (...), and therefore contacted Equifax to have her removed from the ASNEF file, in accordance with Article 492 ter of the Bankruptcy Law, receiving a response dated 27/05/24, in which she was informed that her request could not be attended to as the respondent had confirmed the existence of the debt. Along with the complaint, she attaches:

- A copy of the screenshot from the "ASNEF File" database of EQUIFAX, where four entries of the complainant's personal data can be seen, made by PAYPAL (two on 09/02/23 and two on 23/02/23)
- Dated 15/05/23, a copy of the ORDER from the Court of First Instance and Instruction (...), of bankruptcy procedure No. XXX/YYYY where the complainant is declared bankrupt.
- Dated 11/04/24, a copy of the ORDER from the Court of First Instance and Instruction (...), of bankruptcy procedure No. XXX/YYY where it is agreed to archive the proceedings of the bankruptcy: o "First: In the present bankruptcy, the opening of section six was carried out by virtue of the order issued on December 28, 2023, in section five of liquidation, and in its processing, the bankruptcy administration was requested to present a report.

Second.- On April 19, 2024, a document was submitted by the bankruptcy administration informing that the bankruptcy is fortuitous, also stating that none of the creditors have submitted allegations regarding the qualification of the bankruptcy.

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LEGAL GROUNDS:

Only.- Article 450.6 of the TRLC states that "if the report of the bankruptcy administration requests the qualification of the bankruptcy as fortuitous and the legitimate creditors have not submitted a qualification report, the judge, without further proceedings, will order by order the archiving of the proceedings."

In the present case, the report of the bankruptcy administration requests the qualification of the bankruptcy as fortuitous, therefore it is appropriate to comply in accordance with the provisions of the TRLC.

Having seen the cited articles and others of general and pertinent application,

I agree to archive the present proceedings of section six of this bankruptcy.

MODE OF APPEAL: No appeal may be lodged against this resolution."

- Dated 30/05/24, a copy of the request for the "EXERCISE OF THE RIGHT TO DATA ERASURE BANKRUPTCY LAW" addressed to the entity ASNEF – EQUIFAX, invoking the provisions of Article

492 ter) of Royal Legislative Decree 1/2020, of May 5, which approves the consolidated text of the Bankruptcy Law.

As indicated in the document, the following documentation is attached:

- o Order of the Second Chance Law
- o Order of Appointment of the Bankruptcy Administrator
- o Relevant publications
- o Order of Qualification of the NON-FAULTY Bankruptcy with liquidation of the active mass ("1st home with 19 years paid off mortgage).
- A copy of the response letter from EQUIFAX indicating that once the request was forwarded to PAYPAL, this entity confirmed the existence of the debt and therefore the permanence of the data in the file.

SECOND: On 24/07/24, in accordance with the provisions of Article 65.4 of the LOPDGDD, this Agency forwarded the complaint to the respondent for analysis and to report, within one month, on what was stated in the complaint.

The forwarding was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (LPACAP), by electronic notification, with the following result: "Date of access to the content of the notification: 24/07/2024," as recorded in the file.

This Agency has no record of having received any response from PAYPAL regarding the forwarding made.

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THIRD: On 19/09/24, in accordance with Article 65 of the LOPDGDD, the complaint submitted by the claimant was admitted for processing.

LEGAL GROUNDS

I

Jurisdiction.

According to the provisions established in Article 43.1 of the LSSI and Articles 47, 48.1, 64.2, and 68.1 of the LOPDGDD, the Presidency of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure. Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures." The Fourth Additional Provision "Procedure in relation to the competencies attributed to the Spanish Agency for Data Protection by other laws" establishes that: "The provisions in Title VIII and its implementing rules shall apply to the procedures that the Spanish Agency for Data Protection must process in the exercise of the competencies attributed to it by other laws."

II.

Legality of the Processing

In this case, the claimant states that the entity PAYPAL has included their personal data in the ASNEF file due to the existence of an unpaid debt but indicates that they have been declared in voluntary bankruptcy with liquidation of the active mass by the Court of Instruction and First Instance (...), therefore, according to Article 492 ter of the Bankruptcy Law, they had the right for their personal data to be removed from the ASNEF solvency file.

Well, Article 20 of the LOPDGDD regarding "Credit information systems" establishes the following: "Unless proven otherwise, the processing of personal data related to the non-fulfillment of monetary, financial, or credit obligations by common credit information systems shall be presumed lawful when the following requirements are met:

- a) That the data has been provided by the creditor or by someone acting on their behalf or interest.
- b) That the data refers to certain, overdue, and enforceable debts, the existence or amount of which

has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties.

c) That the creditor has informed the affected party in the contract or at the time of requesting payment about the possibility of inclusion in such systems, indicating those in which they participate. The entity maintaining the credit information system with data related to the non-fulfillment of monetary, financial, or credit obligations must notify the affected party of the inclusion of such data and inform them about the possibility of exercising the rights established in Articles 15 to 22 of Regulation (EU) 2016/679 within thirty days following the notification of the debt to the system, with the data remaining blocked during that period.

d) That the data is only maintained in the system while the non-fulfillment persists, with a maximum limit of five years from the date of maturity of the monetary, financial, or credit obligation.

e) That the data related to a specific debtor can only be consulted when the person consulting the system has a contractual relationship with the affected party that involves the payment of a monetary amount or has requested the conclusion of a contract that implies financing, deferred payment, or periodic billing, as occurs, among other cases, in those provided for in the legislation on consumer credit contracts and real estate credit contracts.

When the right to limit the processing of the data has been exercised before the system by contesting its accuracy in accordance with the provisions of Article 18.1.a) of Regulation (EU) 2016/679, the system will inform those who may consult it according to the previous paragraph about the mere existence of such circumstance, without providing the specific data regarding which the right has been exercised, while the request of the affected party is resolved.

f) That, in the event that the request for the conclusion of the contract is denied, or it does not come to fruition as a result of the consultation made, the person who consulted the system must inform the affected party of the result of that consultation.

2.- The entities that maintain the system and the creditors, regarding the processing of data related to their debtors, shall be considered joint controllers of the data processing, being subject to the provisions established by Article 26 of Regulation (EU) 2016/679. It shall be the responsibility of the creditor to ensure that the requirements for inclusion in the system of the debt are met, being liable for its non-existence or inaccuracy.

3.- The presumption referred to in paragraph 1 of this article does not cover cases where the credit information is associated by the entity maintaining the system with additional information not contemplated in that paragraph, related to the debtor and obtained from other sources, in order to profile the debtor, particularly through the application of credit scoring techniques."

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And on the other hand, Article 492 ter. "Effects of the exoneration regarding credit information systems" of Royal Legislative Decree 1/2020, of May 5, which approves the consolidated text of the Insolvency Law, establishes that:

"1. The judicial resolution that approves the exoneration through the liquidation of the active mass or the definitive exoneration in the case of a payment plan shall incorporate an order to the affected creditors to communicate the exoneration to the credit information systems to which they had previously reported the non-payment or default of the exonerated debt for the proper updating of their records.

2. The debtor may request a copy of the resolution to directly require the credit information systems to update their records to reflect the exoneration."

In the case at hand, the ORDER of the Court of First Instance and Instruction (...), of insolvency procedure No. XXX/YYYY, dated 04/11/24, where it is agreed to archive the proceedings of the insolvency, states that, on 04/19/24, a document from the insolvency administration was submitted informing that the insolvency was classified as fortuitous, also noting that none of the creditors had

submitted allegations regarding such qualification, therefore, in accordance with the provisions of Article 450.6 of the TRLC, it was agreed to archive the proceedings of the insolvency classifying the insolvency as "fortuitous."

Well, for an insolvency proceeding to be classified as fortuitous means that the insolvency administration does not perceive serious irregularities in the management that have caused or aggravated the insolvency, which implies that no fraudulent or negligent conduct of the insolvent party has been found that has contributed to its insolvency. Classifying an insolvency proceeding as fortuitous implies that there is no negative consideration of the debtor's case, as no intentional or grossly negligent behaviors have been found that have caused or aggravated the insolvency or even harmed the proceeding with irregular information. Consequently, there will be nothing sufficiently reproachable to the debtor to harm their aspirations in the proceeding nor to assign them responsibilities beyond those they already have to pay their debts.

However, the above should not be confused with the exoneration through the liquidation of the active mass or the definitive exoneration in the case of a payment plan, as contemplated in Article 492 ter) of the TRLC, for the credit information systems (in our case, ASNEF) to update their records to reflect such exoneration.

The archiving of the insolvency as fortuitous (Article 450.6 TRLC) exempts the administrators from liability (there is no intent, fraud, or gross negligence) but does not extinguish debts; it only closes the qualification section, while the exoneration of the unsatisfied liabilities (Articles 486 and following TRLC) forgives the remaining debt that has not been satisfied in the insolvency, that is, the unpaid debt could be extinguished after the liquidation or with a payment plan, but as long as the latter does not occur, the debts continue to exist, and the creditors can continue to demand their payment.

III.

Conclusion

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Therefore, in the case at hand, the documentation presented indicates that the requirements of Article 492 ter of the TRLC are not met, which requires a judicial resolution of debt discharge in order to claim the removal of personal data from the ASNEF solvency file.

Article 492 ter of the TRLC expressly states that the discharge resolution must include a mandate to creditors to update the solvency records. In the case of the bankruptcy file, the judge does not issue such a mandate because debt discharge has not been granted. Creditors remain entitled to report the debt to the ASNEF solvency file.

Therefore, based on the information provided in the previous paragraphs, no evidence has been found to substantiate the existence of an infringement within the jurisdiction of the Spanish Agency for Data Protection. This is without prejudice to any subsequent actions that this Agency may undertake, exercising its investigative and corrective powers.

Thus, as it has not been possible to establish responsibility for the processing as indicated, by the Presidency of the Spanish Agency for Data Protection,

IT IS AGREED:

FIRST: TO FILE the present proceedings.

SECOND: TO NOTIFY this Resolution to the entity PAYPAL SE (BRANCH IN SPAIN), with CIF: W8260100F and to the claiming party.

Against this resolution, which concludes the administrative procedure as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, and in accordance with the provisions of Articles 112 and 123 of the aforementioned Law 39/2015, of October 1, interested parties may optionally file a motion for reconsideration before the Presidency of the Spanish Agency for Data Protection within one month from the day following the notification of this

resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

Olga Pérez Sanjuán

The Deputy Director General of Data Inspection, in accordance with Article 48.2 of the LOPDGDD, due to the vacancy of the Presidency and Deputy Presidency.

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